

EisaX Intelligence Report: ADNOCGAS.AE

● **Live Price:** 3.23 (%3.38-) | **Sector:** Energy | **EisaX Score:** 75/100 |  **ADX/DFM · AED** |  **Brent: \$103.98**

MEMORANDUM

To: Client

From: EisaX, Chief Investment Officer

Date: March 24, 2026

Re: Analysis of ADNOCGAS.AE

1. Executive Summary

ADNOC Gas presents a balanced but low-conviction investment case. While valuation appears reasonable and the stock benefits from elevated oil prices, fundamental growth is weak and the investment thesis is heavily dependent on volatile commodity markets. The current HOLD stance reflects this equilibrium of moderate upside potential against significant macro and commodity risks.

2. Fundamental Analysis

Fundamental metrics are mixed. Revenue growth is negative at -2.9% YoY, indicating top-line pressure. However, EPS grew 21.0% YoY to \$0.25, demonstrating significant margin expansion, supported by a robust net margin of 19.4%. Valuation is modest with a TTM P/E of 12.9x and a Forward P/E of 13.7x. Key profitability and balance sheet metrics (ROE, ROIC, Debt/Equity) are unavailable, limiting a full DuPont analysis. The gross margin figure is noted as non-GAAP, with a typical GAAP variance of 2-3%.

3. Technical Outlook

The technical picture is neutral with a bullish bias. The primary trend is **Bullish**, with the current price of 3.23|. trading 13.2% above the SMA200 (2.85|.) but -2.0% below the SMA50 (3.29|.). Momentum is **Bullish** per the MACD indicator, which shows a bullish crossover (MACD: 0.01, Signal: 0.01). The RSI is at 45.1, which is **Neutral**. The ADX at 9.2 confirms a weak or absent trend strength. Key support is at the SMA200 (2.85|.), with resistance near the SMA50 (3.29|.).

4. Key Risks

- Oil Price Volatility (Severity: High):** As an integrated oil & gas company, ADNOCGAS.AE's revenue and earnings are directly tied to Brent crude, currently at \$103.98/bbl. A sharp correction in oil prices, potentially triggered by an OPEC+ production surge or a resolution to current geopolitical tensions, would materially impact valuation.
- Geopolitical & Supply Chain Risk (Severity: High):** According to the global macro context, ongoing Iran conflict risks disruption to the Strait of Hormuz, a critical chokepoint for 20% of global oil shipments. While a supply shock would lift prices near-term, any military escalation could destabilize regional operations and logistics.

3. **Energy Transition & Long-Term Demand (Severity: Medium):** Structural shifts towards renewable energy and climate policies pose a long-term risk to fossil fuel demand, potentially leading to stranded assets and compressed valuation multiples over a multi-year horizon.

5. Analyst Consensus & Catalysts

There is no active analyst coverage for this security. The **EisaX Fair Value Estimate** is 3.93 SAR, derived from a forward EPS application of a 13x sector P/E multiple, implying a 21.8% upside from the current price. The next earnings date is not available, making oil price movements and OPEC+ decisions the primary near-term catalysts.

6. EisaX Outlook

The stock trades at a 13.7x forward P/E, which is below the global integrated oil peer average of approximately 15-16x, suggesting a relative valuation discount. The implied return to our fair value is 21.8%, which is attractive but is entirely contingent on sustaining high oil prices, creating an asymmetric risk/reward profile heavily skewed to commodity cycles.

7. ⏰ Why Now?

- **Market Sentiment:** The Fear & Greed Index is at 11.0, indicating **Extreme Fear** (خوف شديد). Historically, such extreme sentiment presents a contrarian opportunity for patient capital, though timing the entry is critical.
- **Technical Position:** Price at 3.23 SAR is in a consolidation zone, trading between the SMA50 (3.29 SAR) and SMA200 (2.85 SAR). A pullback towards the long-term moving average could offer a better risk-adjusted entry.
- **Upcoming Catalyst:** The immediate catalyst is the oil price, with Brent at \$103.98/bbl. According to the macro context, Saudi OPEC cuts and Iran tensions are providing direct support, but this is a volatile and politically sensitive driver.
- **Oil Price:** Current elevated Brent prices are a significant tailwind for revenue and margins in the near term, but this also increases vulnerability to any mean reversion.

8. 🌐 Advanced Scenario Analysis

Scenario	Impact	Expected Price	Suggested Hedge
🚀 Oil Spike \$150+/bbl	+24.3%	4.02 SAR	Hold / partial profit
🛢️ Oil Crash to \$50/bbl	-28.6%	2.31 SAR	Gold + Tech
📉 OPEC+ Production Surge	-9.9%	2.91 SAR	Diversified equities
🌱 Energy Transition (long-term)	-12.4%	2.83 SAR	Clean energy + Tech
🏦 Fed Rate Shock +2%	-6.0%	3.04 SAR	Treasuries + Cash

9. 🛢️ Oil Price Sensitivity

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$104/bbl (current)	—	Base	3.23 SAR

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$90/bbl	-13%	-9%	2.99د.إ.
\$80/bbl	-23%	-16%	2.82د.إ.
\$70/bbl	-33%	-23%	2.65د.إ.
\$60/bbl	-42%	-30%	2.48د.إ.
\$50/bbl	-52%	-36%	2.31د.إ.

The sensitivity analysis shows a ~0.55x multiplier between oil price and stock price movement. The breakeven oil price for the current valuation is estimated below \$70/bbl. The OPEC+ outlook remains cautiously supportive, but the linkage to geopolitical events (e.g., Iran) creates a high degree of uncertainty. According to the macro context, the current price strength is partly driven by Saudi cuts and regional tensions—both of which are subject to rapid change.

 FACT-CHECK (Verified Mar 24, 2026)

Metric	Report	Live	Status
Price	3.23 د.إ.	3.23 د.إ.	✓
Local Price (AED)	—	3.23 د.إ.	+
Beta	—	0.19	+
P/E (TTM)	—	12.9x	+
Forward P/E	—	13.7x	+
Market Cap	—	249.33B AED	+
52W Range	—	1.721 - 3.417	+
Fear & Greed	—	● 11 — Extreme Fear	+
 Next Earnings: N/A			

Source: Yahoo Finance + StockAnalysis + CNN Fear&Greed — live at time of query

 Latest News (EisaX live news engine)

 ADNOCGAS — Company News

- Adnoc L&S approves \$325m dividend for 2025 as operations remain unaffected by conflict (The National)
- سلطان الجابر: إغلاق مضيق هرمز إرهاب اقتصادي ضد العالم.. وأمن الطاقة ليس مجرد شعار (Argaam)
- ADNOC Drilling confirms operational, financial stability - ZAWYA (Zawya)
- أدنوك للغاز: العمليات مستمرة بأمان ولا إصابات نتيجة سقوط حطام (Mubasher)
- "أدنوك" للإمداد والخدمات تتسلم ناقلة الغاز الطبيعي المسال الجديدة "عرادة" (Mubasher)

🏠 Energy — Sector News

- No evidence Valero Texas refinery blast caused by intentional act, sheriff's office (*Investing.com*)
- Stock Index Futures Rally as Oil Prices Tumble on U.S.-Iran Talks (*Yahoo Finance*)
- Crude oil inventories among economic data due Wednesday (*Investing.com*)

🌐 UAE — Market News

- UAE helps secure release of American held by the Taliban (*The National*)
- عمومية أدنوك للإمداد والخدمات تصادق على توزيع أرباح نقدية بواقع 4.03 فلس للسهم الواحد عن الربع الرابع 2025 (*Argaam*)
- Sharjah Civil Defence ramps up emergency readiness amid unstable weather in UAE (*Gulf News*)

📊 Positioning Guide

	Level	Rationale
🟢 Entry	2.91 د.إ	Near SMA200 support
🎯 Target	3.93 (%21.8+) د.إ	⚠️ EisaX FV Estimate (no analyst coverage)
🔴 Stop	2.71 د.إ	Below SMA200 (-5%)

⌚ **Awaiting Pullback** — Current price (3.23 د.إ) is **9.9% above** the entry level. Do **not** chase the current price. Wait for a pullback to the entry zone before initiating a position.

🎯 EisaX Proprietary Score Card

ADNOCGAS.AE | HOLD 🟡 | Conviction: **Low** | EisaX Score: **75/100**

Conviction driven by: strong upside potential (+22%), attractive valuation, bullish technical momentum, low risk profile, no analyst coverage — EisaX FV estimate only

Metric	Value
Live Price	3.23 د.إ
Price Target	3.93 (%21.8+) د.إ [EisaX FV Est.]
Beta	0.19
Forward P/E	13.7x 🟢 Reasonable

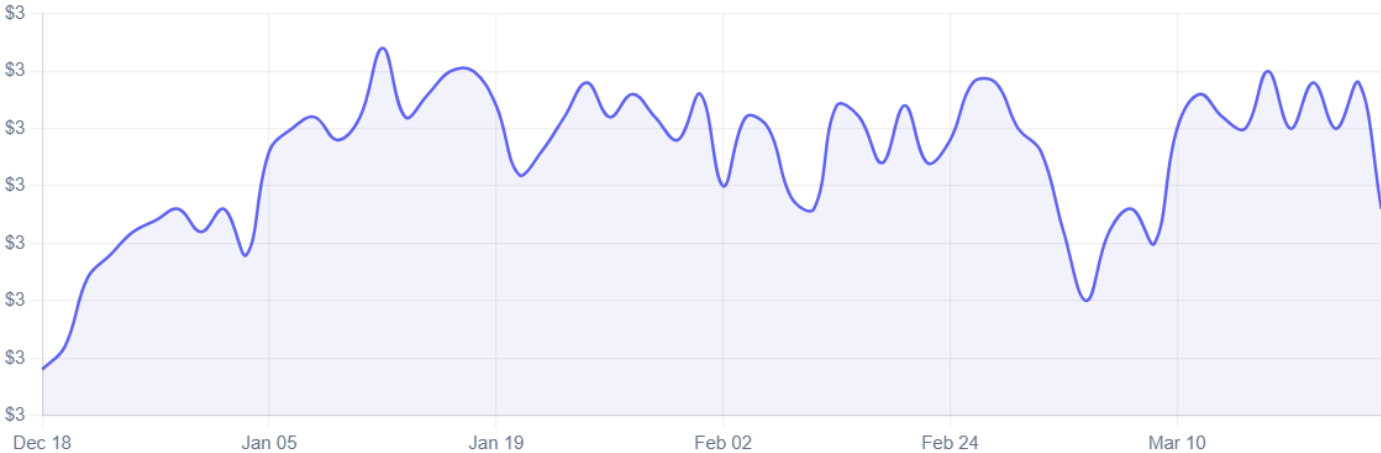
Factor Analysis:

Factor	Score	Bar
Quality Score	64%	
Valuation	85%	
Price Upside	60%	
Risk Profile	100%	
Market Position	70%	
Technical Momentum	90%	
Analyst Sentiment	40%	

Overall: 75/100

EisaX Proprietary Score | Abu Dhabi

Price Chart (60 days)



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